



Compliance Readiness Guide for FINRA Examinations

Financial Industry Regulatory Authority (FINRA)

What FINRA examiners are actually looking for in technology governance examinations and how to be ready before the notice arrives.

1. How FINRA Technology Examinations Work

FINRA conducts routine cycle examinations and cause examinations of member firms. Technology governance has become a consistent focus in both:

- Annual Examination Priorities Letter: Published each January. Cybersecurity, electronic communications, and technology governance have been included for 5 or more consecutive years.
- Risk-Based Scheduling: Firms with recent complaints, regulatory events, or prior examination findings are examined more frequently.
- Cycle vs. Cause: Routine cycle examinations cover all aspects of firm operations including technology. Cause examinations are triggered by a specific event such as a breach, complaint, or regulatory referral.
- Document Request: Technology-related requests include cybersecurity policies, WSPs for technology activities, BCP, incident log, vendor files, and electronic communications archiving documentation.
- Deficiency Letter: If the examination identifies deficiencies you receive a letter requiring written response within 30 days. Prior deficiencies not remediated escalate to formal disciplinary action.

2. FINRA Examination Document Request — Technology Focus

These are the technology-related items most commonly requested in FINRA examinations:

- Written Supervisory Procedures covering all technology-related activities including cybersecurity, electronic communications, remote access, social media, and business continuity.
- Evidence of supervisory review: WSPs must be accompanied by logs or records showing that supervision actually occurred as described.
- Business Continuity Plan compliant with Rule 4370, tested within prior 12 months, with test results on file.
- Electronic communications archiving documentation including which channels are captured, what is excluded, review procedures, and retention configuration.
- Cybersecurity program documentation including written policies, most recent risk assessment, and incident log.
- Vendor risk management documentation including inventory of critical technology vendors with due diligence files.

3. FINRA Examination Focus Areas — Technology

Based on FINRA examination findings reports and enforcement actions, these are the highest-risk technology governance areas:

- **WSP-Practice Gap:** Written supervisory procedures that do not reflect actual operations. Examiners interview staff to test consistency between WSPs and what staff actually do. This is the most common FINRA technology finding.
- **Electronic Communications:** Unarchived communications channels including personal email, WhatsApp, and text messages used for firm business. FINRA has levied record-setting fines for communications recordkeeping failures.
- **Business Continuity:** BCPs that have not been updated or tested since they were written. Rule 4370 testing requirement is explicit and examiners request test results.
- **Remote Access Security:** Missing MFA on remote access and unmanaged personal devices accessing firm systems. FINRA has made remote security a standing examination priority.
- **Third-Party Risk:** Insufficient vendor due diligence, missing security provisions in technology contracts, and no ongoing vendor monitoring.

4. Responding to FINRA Examination Notices

FINRA examinations typically begin with a document request letter. How you respond sets the examination tone:

- **Acknowledge within 24 hours:** designate a single point of contact and confirm receipt.
- **Production timeline:** FINRA typically gives 10-15 business days for initial document production. Request an extension early if needed with a specific reason.
- **Complete and accurate production:** produce everything requested. Partial production or missing documents creates an inference of non-compliance.
- **Staff preparation:** brief relevant staff on examination protocols before on-site interviews. Staff should know what they supervise and how, consistent with written WSPs.
- **Involve compliance counsel:** for cause examinations or examinations arising from a specific event, engage outside FINRA counsel before responding.

5. Building Examination-Ready Documentation

The firms that perform best in FINRA examinations treat examination readiness as a continuous operational state:

- **Standing Examination File:** Maintain a document repository with all standard FINRA document request items updated quarterly.
- **WSP Currency:** WSPs must reflect current operations. Technology changes including new systems, new vendors, and new products require WSP updates before the change goes live.
- **Supervisory Evidence:** Every supervisory procedure must be accompanied by evidence of execution including review logs, approval records, and escalation documentation.
- **BCP Testing:** Annual BCP test with documented results. The test must simulate a realistic scenario and the results must document what worked and what needs improvement.

6. FINRA Compliance Readiness Checklist

Before a FINRA examination, confirm you can produce within 24 hours:

- Current WSPs for all technology-related activities including cybersecurity, electronic communications, remote access, and BCP
- Supervisory review logs with no gaps showing evidence of actual review as described in WSPs
- BCP tested within prior 12 months with Rule 4370 test results on file
- Electronic communications archiving evidence with all channels captured and retention configured correctly
- Cybersecurity program documentation including policies, risk assessment, and incident log
- Vendor due diligence files for all critical technology service providers
- MFA deployment evidence for remote access and financial systems
- Staff training records including cybersecurity and compliance training completion logs

NEXT STEP

Build Your Governance Roadmap

Reading this guide is step one. Step two is knowing exactly where your organization stands and what it takes to close the gaps before a regulator does it for you.

Our assessment delivers a prioritized governance roadmap tailored to your regulatory environment.

WHAT THE ASSESSMENT DELIVERS

- ✓ AI usage discovery across your organization
- ✓ Governance gap analysis by regulatory framework
- ✓ Infrastructure and vendor AI risk review
- ✓ Regulatory exposure analysis (SEC, FINRA, HIPAA)
- ✓ Prioritized governance roadmap
- ✓ Board-ready executive summary
- ✓ Regulatory readiness score by framework

Book Your Assessment →

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